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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Not Our Base Case

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Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
-3.9%

Key takeaways

- *The issues cited for the recent downside volatility in the stock market are not new. We have been discussing them for some time.*
- *Fears involving potential Federal Reserve (Fed) missteps, slowing global growth and margin pressures have been front and center.*

After a quite steady march higher by the S&P 500 Index from the February 2018 lows, investors very suddenly came down with a case of cold feet in the month of October. True, there is a chill in the air in the northern tiers of the country as the season changes, but there has also been a chill in the stock market in recent weeks as investors have decided to worry a bit more about issues that really are not new. In fact, a number of the reasons given for the current pullback in equities are potential risks we have been talking to investors about for 18 months or more. And most of these concerns typically become bigger worries as the cycle ages. Investors have become more sensitive to these risks over the last 30 days after the major stock indices hit all-time record highs during the third week of September. However, these risks do not line up with our base-case outlook.

We have often talked about the ebb-and-flow of the economic cycle being caused by Fed missteps. After all, trying to fine tune a $20 trillion economy is no easy task. Attempting to change the course of the U.S. economy is akin to trying to turn a gigantic ocean liner. In other words, it takes a while. That is why there is a lag between changes in Fed monetary policy and being able to visually see those adjustments playing out in the economy. In most cycles, when the economy meaningfully slows and falls into recession, the Fed lowers interest rates in an attempt to encourage borrowing and spending. This strategy normally works. Remember that the U.S. has a consumption-based economy and when it is cheaper to borrow money American consumers typically respond by opening their wallets. As a result, economic growth picks up speed along with, at some point, inflation.

But all good things must eventually come to an end. In terms of the Fed, strong economic growth and modestly rising inflation are acceptable in the early stages of a recovery. And the stock market usually finds those conditions favorable as well. It is when our central bankers start to become concerned that if something isn't done to slow the economy the inflation genie might get out of the bottle. "Price stability" is one of the Fed's dual mandates along with "maximum employment" (yes, they can easily be at odds).

So as Fed Chair Jay Powell continues in former Chair Janet Yellen's footsteps and gradually increases interest rates from the near-zero levels seen in the wake of the financial crisis, a critical juncture has been reached in terms of stock market perception. And Chairman Powell's recent comments reflect where we are in the cycle. He has said that the Fed "needs to be careful" from this point on.

As fears grip the stock market due to uncertainty over next year's earnings, potential trade frictions, and concerns about slower global growth and rising costs that may negatively affect currently high corporate margins, our Fixed Income team is looking for three additional Fed rate hikes over the next 12 months. While not our base case, any hint from our central bankers that the pace and magnitude might be increased beyond our expectations would likely not be taken lightly by the equity market.

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